

Atchíson

The background of the entire page is a photograph of an ice cave. In the upper half, a jellyfish is visible on the right side. In the lower half, a person is standing in the distance, illuminated by a light source, possibly a flashlight, creating a bright glow. The cave walls are covered in ice and snow, with large icicles hanging from the ceiling.

November 2025



Monthly Market Update

Illuminating
the way forward



Key Events in November 2025

November – Global markets impacted by tech stock worries and shifting direction of interest rates!

- The Australian share market fell -2.6% over the month, recording its worst November performance since 2014. Stronger than expected jobs and inflation readings led several independent economists to predict rate hikes in 2026. This caused 10-year bond yields to surge towards a one-year high, a stark divergence from the U.S. where yields trended towards one-year lows on expected rate cuts.
- The International share market returned +0.2% (unhedged) and -0.3% (hedged). Interestingly, global equity funds saw their first weekly outflow in 10 weeks, as concerns about stretched valuations, particularly in the tech sector, outweighed optimism around expected U.S. interest rate cuts next month.
- U.S. stocks finished higher in a shortened Black Friday session, with major indexes posting their best week since June. The tech-heavy Nasdaq returned around -1.5% - its first monthly loss since March. Meanwhile, blue-chip Dow Jones Industrial Average and benchmark S&P 500 closed at +0.3%, and +0.1% for the month.
- Positive performance of UK equities was helped by a pullback in gilt yields and a softer pound that provided support for large, globally oriented companies. Softer inflation and labour-market data also increased expectations of Bank of England rate cuts.
- Eurozone shares had a volatile start to November but rebounded by month end, with investor sentiment buoyed by increasing expectations of a U.S. Fed rate cut. Eurozone shares had a volatile start to November but rebounded by month end, with investor sentiment buoyed by increasing expectations of a U.S. Federal Reserve (Fed) rate cut. Financials, Healthcare and Communications Services were among the best-performing sectors.
- Japanese equity market was highly volatile in November, with the TOPIX Total Return up +1.4% while the Nikkei 225 fell -4.1%.
- The backdrop of lower yields and expectations of easier central-bank policy supported bond markets. Some fixed-income indices saw modest gains during November.
- Commodities remained relatively stable. Precious metals, notably gold, drew considerable interest, reflecting demand for portfolio hedges in a period of market uncertainty.
- In Australia, unexpectedly high inflation for the September quarter (released in November) significantly dimmed expectations for imminent rate cuts by the Reserve Bank of Australia (RBA). With price pressures sticky — especially in housing and energy components, the market pushed out expectations of easing. Some economists are now warning that rate hikes in 2026 cannot be ruled out if inflation and wages growth does not ease.
- RBA held the cash rate steady at 3.6% and is expected to remain on hold for an extended period, some economists forecasting rate hike early 2026.
- Meanwhile, Australian real estate continued to show strength: property price growth remained robust, supported by higher construction approvals and resilient demand in housing markets.
- The outlook for the U.S. economy was little changed in November as the U.S. Government shutdown delayed the release of most official economic data. Some data that was not collected during the shutdown may be permanently lost.
- November marked a turbulent period for digital assets, characterised by sharp market corrections driven by shifting macroeconomic expectations, the re-pricing of AI-related risk, and the carryover from the October flash crash, when the cryptocurrency market capitalisation fell by more than \$1 trillion from its October peak. Bitcoin experienced one of its worst months this cycle, declining nearly -18%.
- The better-than-expected growth outcome eased pressure on the European Central Bank (ECB) to cut interest rates in the near term. Noting that inflation remains close to its 2% medium-term target.
- In a world of elevated macro and geopolitical uncertainty — active management and flexible asset allocation remain important. The monthly volatility underscores why passive “set and forget” approaches may be riskier in 2026 than in previous years.

Asset Class Summary

Table 1: Asset Class Returns – Periods to 30 November 2025

	1 Month %	3 Months %	1 Year %	3 Years % pa	5 Years % pa	10 Years % pa
Australian Shares	-2.6	-3.1	5.5	9.6	9.8	9.3
Australian Small Companies	-1.7	3.7	18.1	10.3	6.3	8.2
International Shares (Unhedged)	0.2	5.6	16.6	20.2	15.7	13.2
International Shares (Hedged)	-0.3	5.4	15.6	18.7	12.7	11.4
Emerging Markets (Unhedged)	-3.1	7.8	27.9	15.2	6.3	7.8
Australian Property Securities	-0.8	-2.6	14.2	12.1	8.1	8.7
Global Property Securities (Hedged)	1.9	1.9	-0.2	4.3	3.3	
Global Listed Infrastructure (Hedged)	2.3	3.6	7.7			
Australian Bonds	-0.8	-0.5	4.3	3.1	-0.5	1.9
Global Bonds (Hedged)	-0.4	1.1	3.3	3.0	-1.3	
Cash	0.3	0.9	4.1	4.2	2.7	
Change over the month						
AUD/USD	-0.27%	0.6533				

Past performance is not a reliable indicator of future performance.

Source: iShares Core S&P/ASX 200 ETF, iShares S&P/ASX Small Ordinaries ETF, Vanguard International Shares Index, Vanguard MSCI Index Intl Shrs (H) ETF, iShares MSCI Emerging Markets ETF, VanEck Australian Property ETF, VanEck FTSE Intl Prop Hdg ETF, iShares Core FTSE Global Infrastructure (AUD Hedged), iShares Core Composite Bond ETF, Vanguard Global Aggregate Bd Hdg ETF, iShares Core Cash ETF

Australian Markets

The Australian share market fell -2.6% over the month, but up around +5% for the year. Whilst the small caps market fell only -1.7% over the month.

This was the third consecutive month that the local equity index has performed comparatively poorly, a performance pattern that has coincided with the marked change to investors rate cut expectations.

The November decline was driven by a few heavy selling days – including a sharp drop on 18th November when the index fell around -1.9%, reflecting broad weakness across sectors (tech, materials and banks). By the end of the month, the index had recovered somewhat.

The best performers for the month were Healthcare (+2.0%), Consumer Staples (+1.6%) and Materials (+1.5%). Lithium and gold stocks rallied strongly. The worst performers were Information Technology (-11.6%), Financials ex property (-6.5%) and Property (-3.8%).

The IT sector sold off globally on profit taking, valuation concerns, increased debt financing, and questions around timing of returns on large capital expenditure. Governance concerns at WiseTech Global brought the sector down, Healthcare fell as CSL downgraded earnings again while Consumer Discretionary was hurt by the RBA's decision and hawkish stance.

Commonwealth Bank's (CBA) valuation continued to revert toward normal levels as investors switched their banking exposures into the Miners. Property stocks fell on a potential end to the rate cutting cycle.

November's performance underscores the risk that equities — even diversified large-cap benchmarks, can deliver meaningful drawdowns in a short window, especially when macro and valuation concerns converge.

It should be noted that in November, the dispersion in performance was large, whereas some smaller and mid-cap names (or thematic/new-listing stocks) outperformed. Blue-chip tech, banks and materials underperformed. This emphasises the value of diversification, and perhaps active selection, rather than relying on index-only exposure.

Global Markets

The global equity market eked out a return of +0.2% (unhedged) and -0.3% (hedged). Risk sentiment among investors deteriorated throughout most of the month but was more positive toward the end. Investors appear to be getting increasingly nervous about the high valuations of the large AI-related companies, and whether they can earn the expected return on the enormous amount of investment they are undertaking. While earnings have exceeded expectations to date – driven strong gains in U.S. equities in recent years, the equity market remains vulnerable to a reassessment of earnings outlook for these firms.

The U.S. S&P 500 ended the month near unchanged at +0.1% whilst most European equity markets also ended near unchanged. Whole Asian markets ended weaker, especially the Japanese Nikkei which fell around -4% (following a strong rally in October).

In Europe ex UK, financials and IT continued their strong earnings trend, while consumer sector earnings — particularly in the autos sector — disappointed. A robust 12% Earnings Per Share (EPS) growth outlook for 2026 and less technology concentration in the market helped European equities (+1.1%) to slightly outperform U.S. markets in November. The UK equity market (+0.4%) was held back by profit-taking in industrial names and weak sentiment in the consumer sector.

A weaker yen supported the export-oriented Japanese market (+1.4%). Asian markets ex-Japan were at the bottom of the table as investors took profits after a very strong year. Korean equities fell -3% in U.S. dollar terms and Taiwan shed -4%.

Emerging market (EM) equities declined down -3.1%, following strong performance in recent months, despite a weaker U.S. dollar and declining 2-year and 10-year Treasury yields. The EM index underperformed the broader MSCI World Index. EM index heavyweights Korea, Taiwan and China, which have supported the EM index's performance over much of 2025, giving back some of their recent gains amid a pull-back in technology-related stocks in the month.

India posted slightly positive returns in U.S. dollar terms, helped by good economic growth data and the market's relative lack of exposure to technology. The smaller Asian markets of Indonesia, Malaysia and Philippines delivered positive returns in U.S. dollar terms. Mexico and South Africa also delivered positive returns, with the latter helped by an interest rate cut, strength in precious metals prices and a medium-term budget statement that was well received by the market.

Bonds

Events in the U.S. like increased volatility in equities and a growing anticipation of a December Fed rate cut, drove fixed income markets.

Fixed income markets grappled with the uncertainty created by the lack of data from the U.S. and questions about the future policy path of the Fed. The pass-through of tariffs to the U.S. consumer continue to be a known unknown for economists, and fiscal expansion poses an additional risk for price stability in 2026. By the end of November, the needle turned more in favour of a U.S. Fed rate cut at the Fed's next meeting on 10 December.

Weaker global risk sentiment saw U.S. 10-year bond yields fall by 6bps in November, with a rise in the U.S. unemployment rate – from 4.3% to 4.4% – also contributing.

Corporate bond performance was mixed, with the U.S. outperforming other credit markets (both investment grade and high yield) but spreads widening versus Treasuries. Heavy supply in European and UK investment grade weighed on performance.

During November, Australian bond yields rose sharply after the stronger inflation data, with 3-year yields ending the month 27bps higher and 10-year yields rising 22bps.

In the UK, CPI inflation moderated to 3.6% year-over-year, but this was not enough to support Gilts as uncertainty about the Budget dominated. In the UK, Consumer Price Index (CPI) inflation moderated to 3.6% year-over-year, but this was not enough to support Gilts as uncertainty about the Budget dominated. After weeks of intense speculation, the Budget announcement was largely uneventful, and the announcement of lower Gilt supply ahead provided some relief to sterling fixed income investors. UK government bond returns were relatively flat in November, returning 0.1%.

In the eurozone, German Bunds underperformed as the planned net new borrowing by the Federal Government overshot initial projections. Inflation-linkers rose by just 0.2% as inflation and duration headwinds outside the U.S. detracted from performance.

The Japanese government bond market was the clear underperformer for the month as the government announced a 21.3-trillion-yen fiscal stimulus package. The sheer size of the package raised investors' concerns over Japan's already substantial debt burden. Japanese 10-year bond yields rose 14bps.

Currencies and Commodity Markets

The Australian dollar was little changed against the U.S. dollar, closing the month around AUD/USD 0.6553. Weaker risk sentiment saw the Australian dollar depreciate in the first half of the month, but this was retraced alongside the sharp rise in Australian bond yields.

Lower U.S. bond yields saw the U.S. dollar depreciate slightly against a broad range of currencies. The notable exception was the Japanese yen, which depreciated further against the U.S. dollar. The yen has now reversed its appreciation against the U.S. dollar in the first half of the year, unlike the Swiss franc and euro which are still 11-12% stronger against the U.S. dollar.

UK Sterling began the month under notable pressure. A “dovish hold” from the Bank of England, combined with weak labour data, falling retail sales, and heightened pre-budget fiscal uncertainty, sent GBP to multi-month lows against both USD and EUR. That narrative flipped in the final week: the Autumn Budget which highlighted £22bn in fiscal headroom and £26bn in tax increases, reassured markets and helped Sterling rally. GBP/USD posted a seven-session winning streak into month-end, making GBP one of the month's strongest performers.

The Euro traded cautiously for most of November, hampered by political uncertainty in France and risk-averse sentiment early in the month. Better-than-expected Eurozone data particularly German industrial production and GDP, provided support and helped the Euro stabilise.

A muted outlook for the oil market, which is expected to move into surplus in coming years, hurt Middle Eastern markets, adding to the region's headwinds.

Gold rose +5.05% over November, fourth consecutive monthly increase. By the end of the month gold was trading around US\$4,200/oz.

Silver is in a catch-up trade climbing to US\$48.55 per ounce, its highest level since May 2011. The metal benefited from its strong industrial demand profile, particularly in sectors such as renewable energy, solar panels, and AI-related wiring and connectors.

Commodities overall posted modest gains with considerable variation by sector. Industrial metals were broadly flat to slightly negative for the month, reflecting softer global manufacturing activity, excess inventories in several markets, and weaker demand signals from China. Copper was the notable exception, with prices rising on firmer demand.



Outlook for Investment Markets

What Investors Should Watch in 2026. With Australia's economic landscape shaped by a blend of domestic policy interventions and global uncertainties, investors need to remain vigilant and agile. Here are several key indicators and areas to monitor:

GDP and Productivity Metric. Investors should be cognisant of GDP growth trends and productivity improvements. As noted by the OECD and Deloitte, these metrics will be a barometer of economic strength and resilience. Real wage growth, and productivity gains could unlock further investment in technology and skills enhancement.

Monetary Policy Developments. Watch for further adjustments by the RBA. Interest rate policies and inflation trends will directly influence borrowing costs, consumer spending, and the overall investment climate.

Labour Market Indicators. Monitoring employment trends, wage growth and job vacancy rates will offer valuable insights into the underlying strength of the economy.

Fiscal Policy and Public Investment. The impact of fiscal measures – including tax cuts, public investments, and social policies – will begin to manifest over time. Investors should track government spending patterns and budget announcements, especially in sectors like healthcare and education where long-term societal benefits are expected.

Global Trade Dynamics. Given Australia's reliance on commodity exports and international trade, developments in global trade relations – particularly with China and the United States – will remain critical.

As Australia edges toward 2026, its economic outlook is characterised by a cautious recovery that is both promising and vulnerable. For investors, the take-home message is one of cautious optimism. With enhanced productivity, sustained public investment and adaptive monetary policies, Australia is well-positioned to navigate the uncertainties ahead.

Where to Invest?

The ASX200 12-month-forward (12MF) Price-earnings ratio (17.9x) is at a 9.4% premium to the 10-year average looks more reasonable relative to recent excessive levels. The ASX200 12MF dividend yield remains lower than historic levels at 3.4%. ASX dividends in 2026 are forecast to start growing again after three years of declines.

2026 is looking promising for number of asset classes and industries. The following areas are worth monitoring.

- On the back of strong U.S. economic growth, U.S. valuations continue to look stretched. Other markets look more reasonable, but only slightly cheaper. Regions like Europe and EM's should continue to shine into 2026.
- EM equities look attractive. Despite concerns in China, the recent rally of Chinese tech companies makes sense. They were too cheap for too long while China was deemed 'un-investable'. But ever since President Xi shook hands with Alibaba founder, Jack Ma and announced an equal playing field for private and public companies, valuations re-priced higher. Expect this trend to continue.
- Latin America remains cheap relative to other EM regions, but also cheap compared to its own history. At the same time, we are seeing improved earnings in the region. While far from certain, elections polls seem to be moving to more market friendly candidates in both Brazil and Chile.
- When it comes to bonds, there is still attractive high-quality income on offer to investors. However, given expected higher growth and higher inflation view in the U.S., potentially too many rate cuts are priced in the U.S.
- Credit spreads are looking extremely tight, especially in the U.S. There is better value in Europe, Australia and securitised credit.

Atchison

Atchison

Level 4, 125 Flinders Lane,
Melbourne VIC 3000
Level 3, 63 York Street,
Sydney, NSW 2000

P: +61 (0) 3 9642 3835
enquiries@atchison.com.au
www.atchison.com.au

ABN: 58 097 703 047
AFSL Number: 230846

To obtain further information,
please contact:

Jake Jodlowski

Principal
P: +61 3 9642 3835
E: jake@atchison.com.au

Mishan Dahia

Investment Analyst
P: +61 3 9642 3835
E: mishan@atchison.com.au